Lecture 2 Survey of China

Social Structure in China

Instructed by Xiang Nan

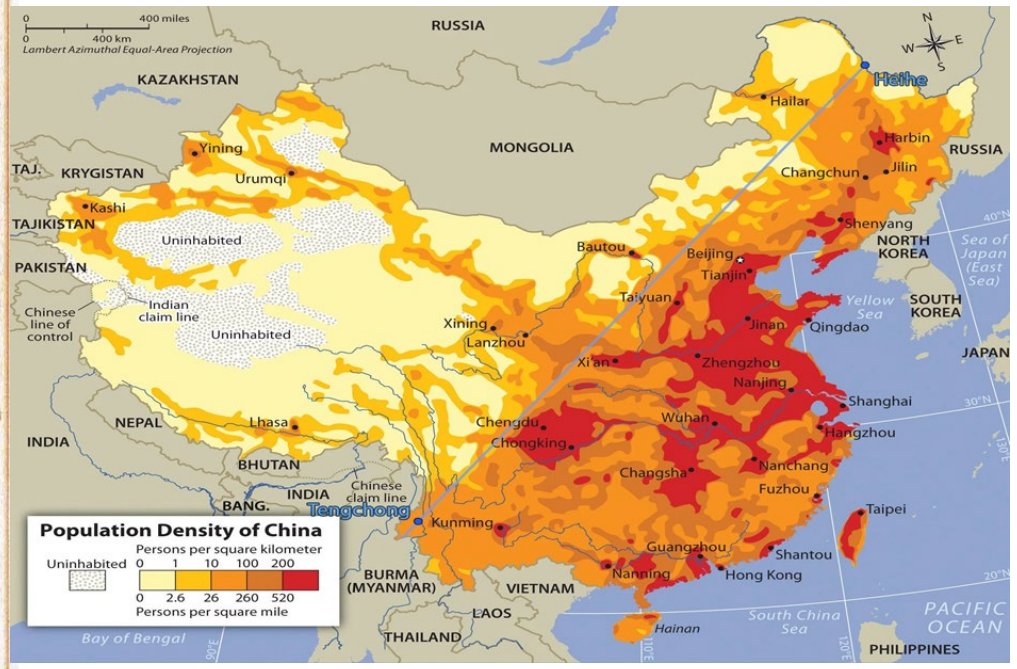
Social Structure

(sociological concept)

stable structure of relations formed by all elements constituting a society



Structure of Social Status



Urban-rural Structure

1. Structure of Social Status

(1) Before 1978 Economic Reform

- Public ownership of means of production

- Predominance of primary industry and secondary industry

Social Status (Occupational) Structure

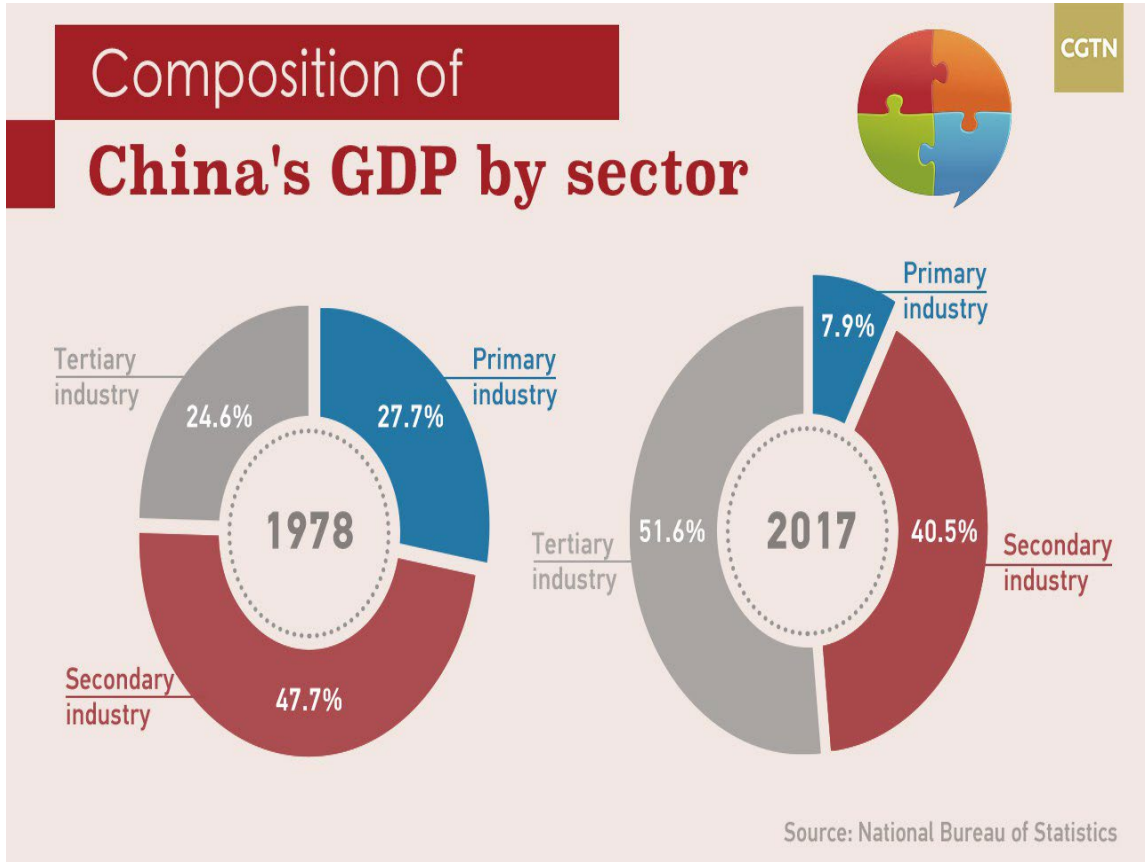
- Equal Society: Division of labor
  - no hierarchical distinction between noble and humble occupations
  - Small difference in income

- Inverted "丁"-shaped structure
  - Cadres (administrators and professionals)
  - Workers
  - Peasant

（2） After 1978 Economic Reform

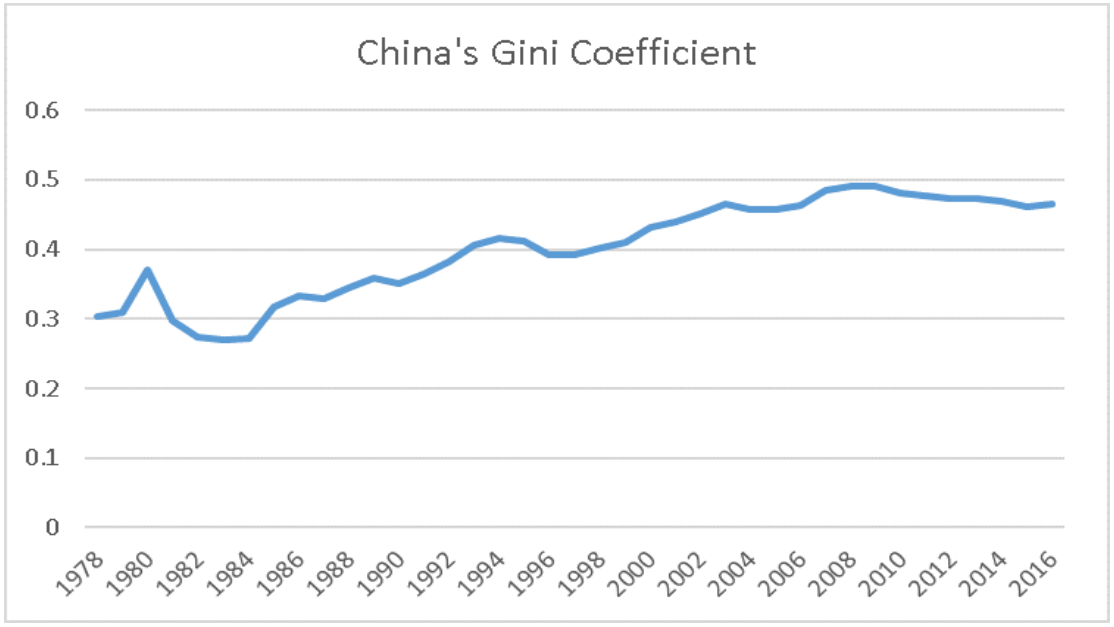
- public ownership playing a dominant role and diverse forms of ownership developing side by side
  - “allow some people to get rich first”

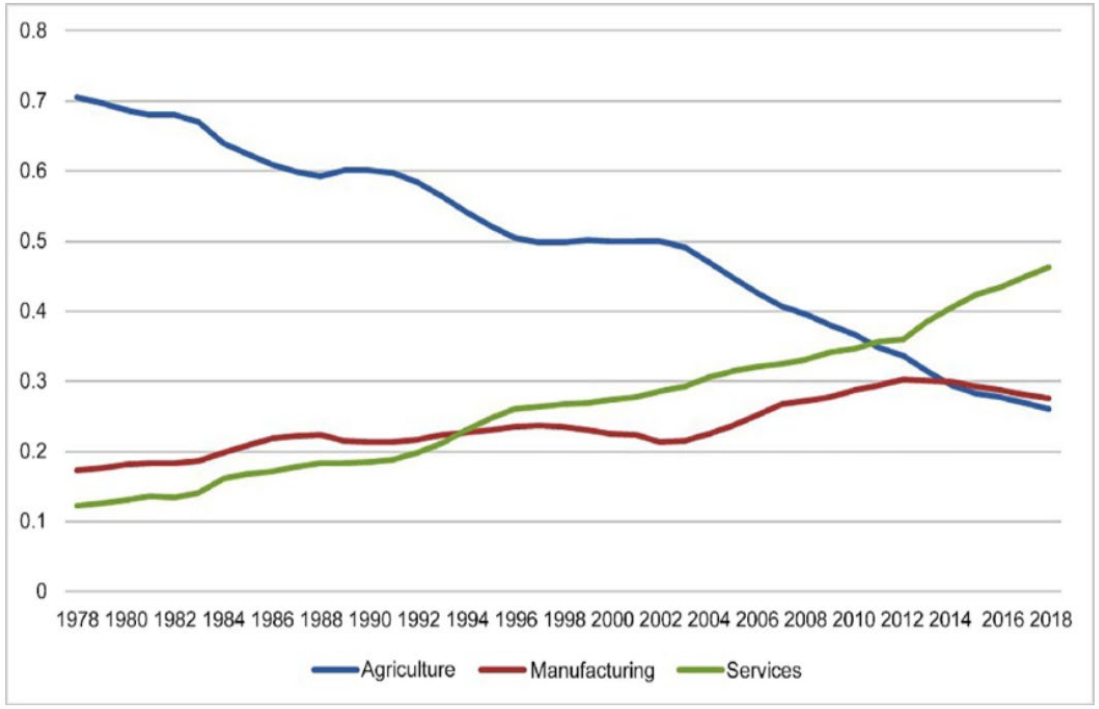
- change in industrial structure



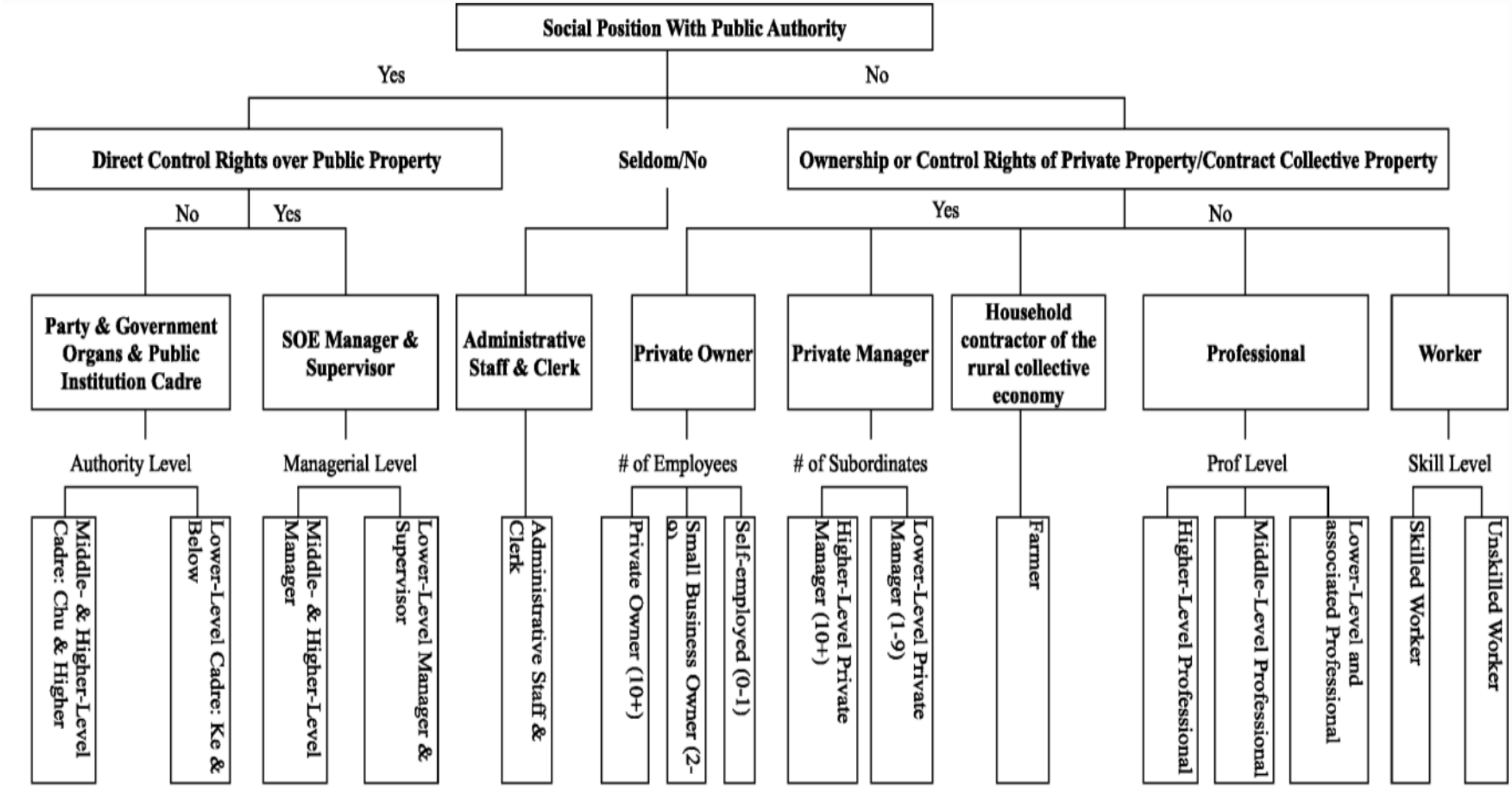
Social Status (Occupational) Structure

- Increasing social stratification
  - larger income gap
  - diversified social classes and occupations
- “土”-shaped structure:
  - Shrinking low-income peasant class (urbanization)
  - Increasing middle-class occupations





The shares of employment of China by three sectors, 1978-2018.


Social Position With Public Authority
Yes
No
Direct Control Rights over Public Property
Seldom/No
Ownership or Control Rights of Private Property/Contract Collective Property
No
Yes
Yes
No
Party & Government Organs & Public Institution Cadre
SOE Manager & Supervisor
Administrative Staff & Clerk
Private Owner
Private Manager
Household contractor of the rural collective economy
Professional
Worker
Authority Level
Managerial Level
of Employees
of Subordinates
Prof Level
Skill Level
Middle- & Higher-Level Cadre: Chu & Higher
Lower-Level Cadre: Ke & Below
Middle- & Higher-Level Manager
Lower-Level Manager & Supervisor
Administrative Staff & Clerk
Private Owner (10+)
Small Business Owner (2-9)
Self-employed (0-1)
Higher-Level Private Manager (10+)
Lower-Level Private Manager (1-9)
Farmer
Higher-Level Professional
Middle-Level Professional
Lower-Level and associated Professional
Skilled Worker
Unskilled Worker

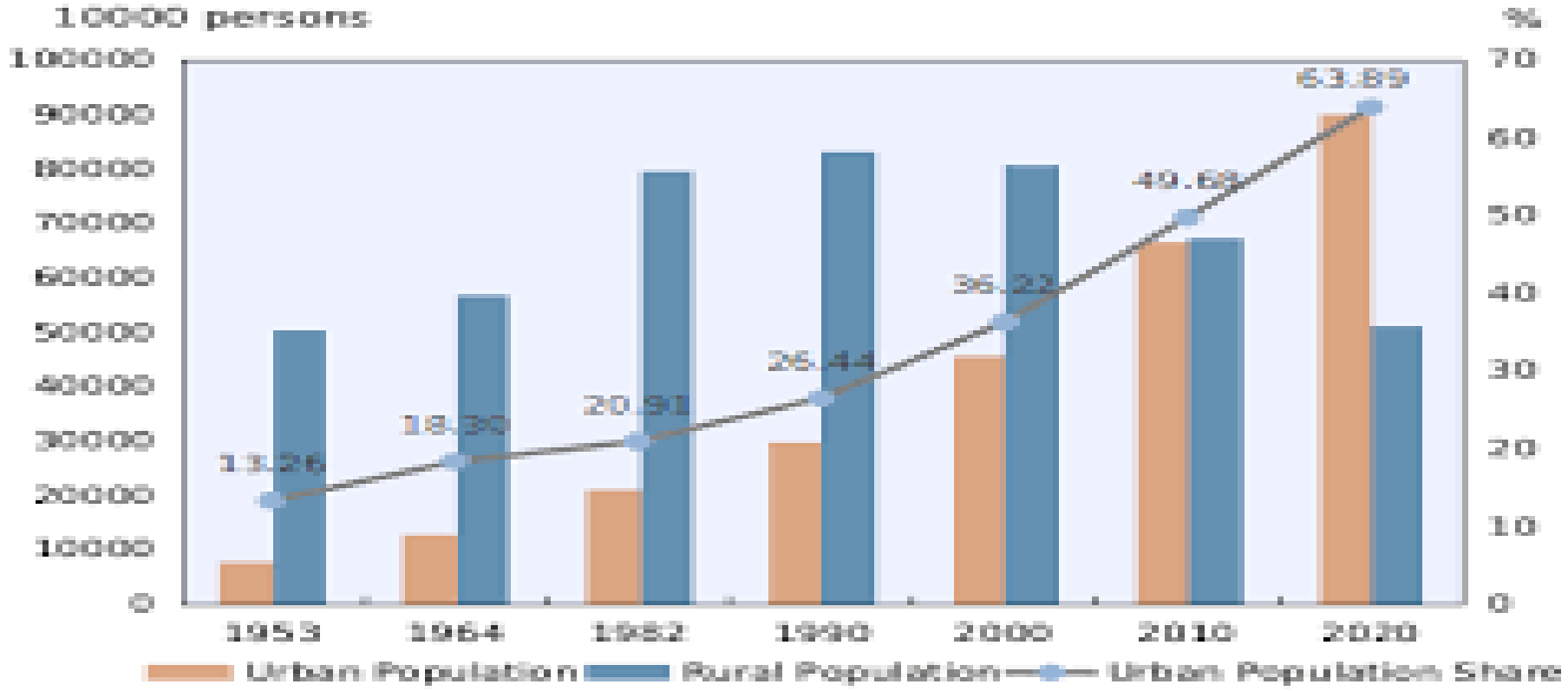
Target

- More equitable olive-shaped social status structure
  - Further increase the income of low-income class
  - Adjust the income of high-income group
  - Expand the scale of middle-income group

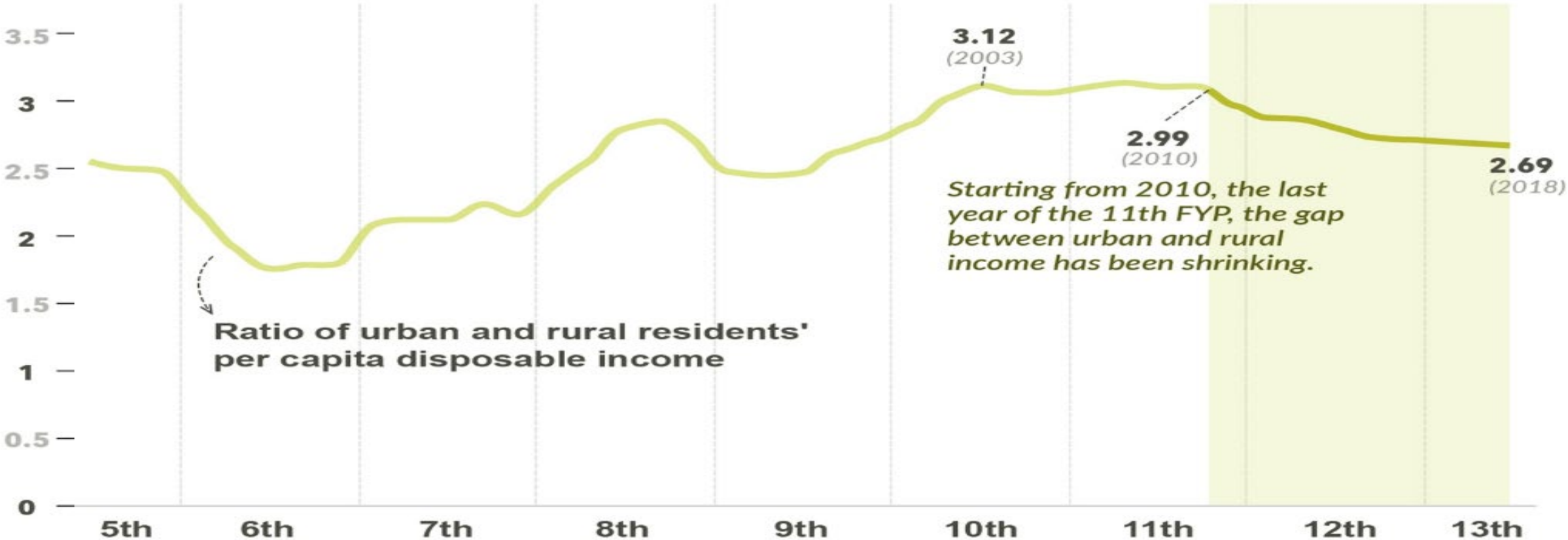


2. Urban-Rural Disparities

Urban-rural Population Distribution



Urban-rural income disparity



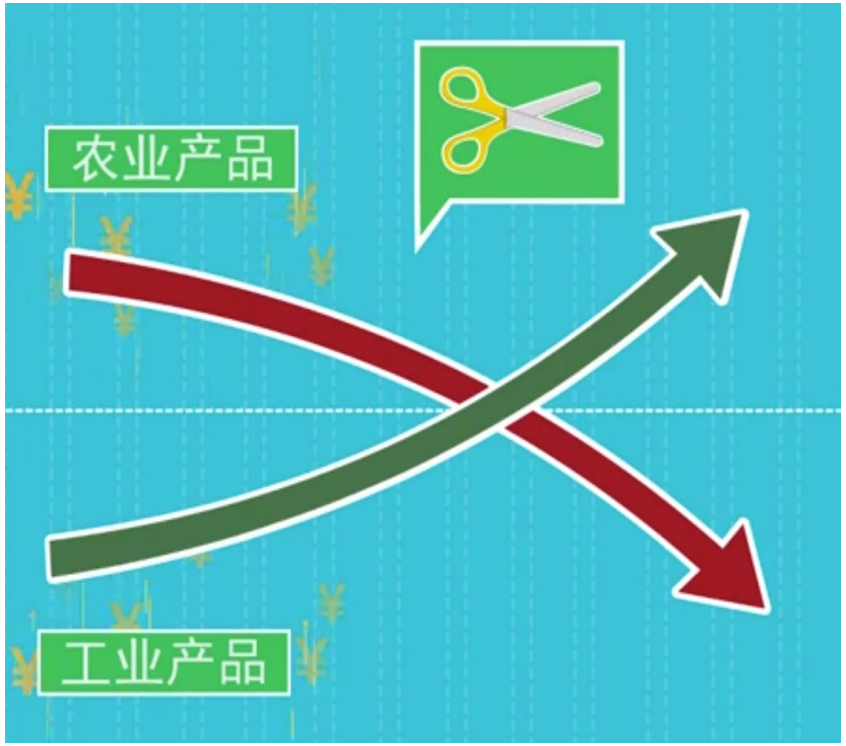
Source: China's National Bureau of Statistics

Institutional Origin of Urban-rural Disparities

- (Before 1978) Socialist Planned Economy: to achieve rapid (urban) industrialization

- "price scissors" policy

- "household registration (hukou)" policy
  - Restriction of migration
  - Provision of social welfare



- Urban-rural disparities in economic development, income and welfare


居民户口簿
Household Register
中华人民共和国公安部制
Under Supervision of The Ministry of Public Security of P.R.C.


常住人口登记卡
姓名
农业家庭户口
户主或与户主关系
曾用名
性别
出生地
民族
汉
籍贯
湖南省
出生日期
本市(县)其他住址
宗教信仰
公民身份证件编号
身高
血型
文化程度
大学本科
婚姻状况
未婚
兵役状况
服务处所
职业
何时由何地迁来本市(县)
2010-08-10
何时由何地迁来本址
2010-08-10
承办人签章：
登记日期：
2010 08


户别
非农业家庭户口
户主
户号
300625
住址
省级公安机关
户口专用章
户口专用
承办人签章：
户别
农业家庭户口
户主姓名
户号
000122
住址
省级公安机关
户口专用章
户口专用
承办人签章：


常住人口登记卡
户别
居民家庭户口
姓名
户主或与户主关系
户主
曾用名
性别
出生地
湖南省
民族
汉
籍贯
湖南省
出生日期
本市(县)其他住址
宗教信仰
公民身份证件编号
文化程度
大学本科
婚姻状况
已婚
兵役状况
服务处所
职业
何时由何地迁来本市(县)
2010-08-10
大(中)专学生
何时由何地迁来本址
2020-08-25
分户13-2
承办人签章：
登记日期：202年 8月 25
百家号/长沙小宝

After 1978：Emergence of A New Social Group --Rural Migrant Workers（农民工）

- Economic reforms to socialist market economy
  - Market allocation of labour force and resources
- Urban Area: Labour intensive industries
- Rural Area: Household responsibility system
  - Disbanding of Communes
  - Labour Surplus

- **Definition:**
- rural hukou residents leaving the village and going to cities to pursue work in the secondary and tertiary industries



- Question:

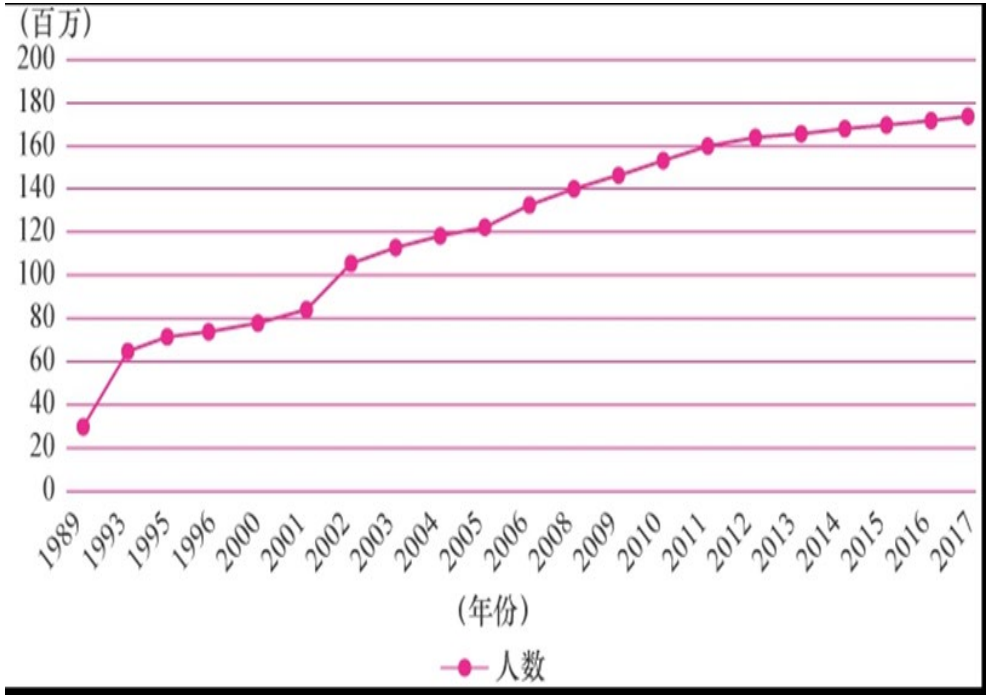
- Can you think of some jobs/ occupations that are often taken by rural migrant workers in China?



CHARACTERISTICS of Rural migrant workers

- China's largest segment of urban labour force
  - constituting about 60% urban labour force

- Rural hukou status
- Urban worker (occupation)
- High population mobility (e.g. rural-urban-urban-rural)
- **Precarious work/ welfare condition**
  - double disadvantages



- Rural hometown
  - empty-nested elderly people
  - left-behind children



Group Discussion

- Imagine you were a urban
  - government official,
  - employer,
  - resident (e.g. unemployed worker),
  - migrant worker

then,

- (1) Would you support or oppose granting hukou to migrant workers so that they can enjoy urban social welfare?

- (2) Which of the following social welfare do you prefer to open to migrant workers (without hukou)?
  a) Urban social Insurance
  b) Compulsory education in public schools
  c) low rental housing

Role	Granting Hukou to migrants? (Yes, Not-sure, No)	Social welfare open to migrants? (a, b, c)
Local government official		
Employer		
Urban hukou resident		
Migrant Worker		

21st Century: Incremental social inclusion of migrant workers

(1) Incremental/selective Hukou transfer

- **small towns/ cities** lifted their control (unattractive)
- **medium-/ large cities** to grant local hukou to rural migrants with stable employment and residence
  - family reunification with a local hukou resident,
  - buy high-end commercial flats,
  - obtained higher education,
  - role-models



Blue-seal hukou



Point-based hukou system

(2) Incremental inclusion to urban social welfare

- **Social Welfare**
  - opening **contribution-based** social insurance programs to rural migrants

- Compulsory Education in Public Schools

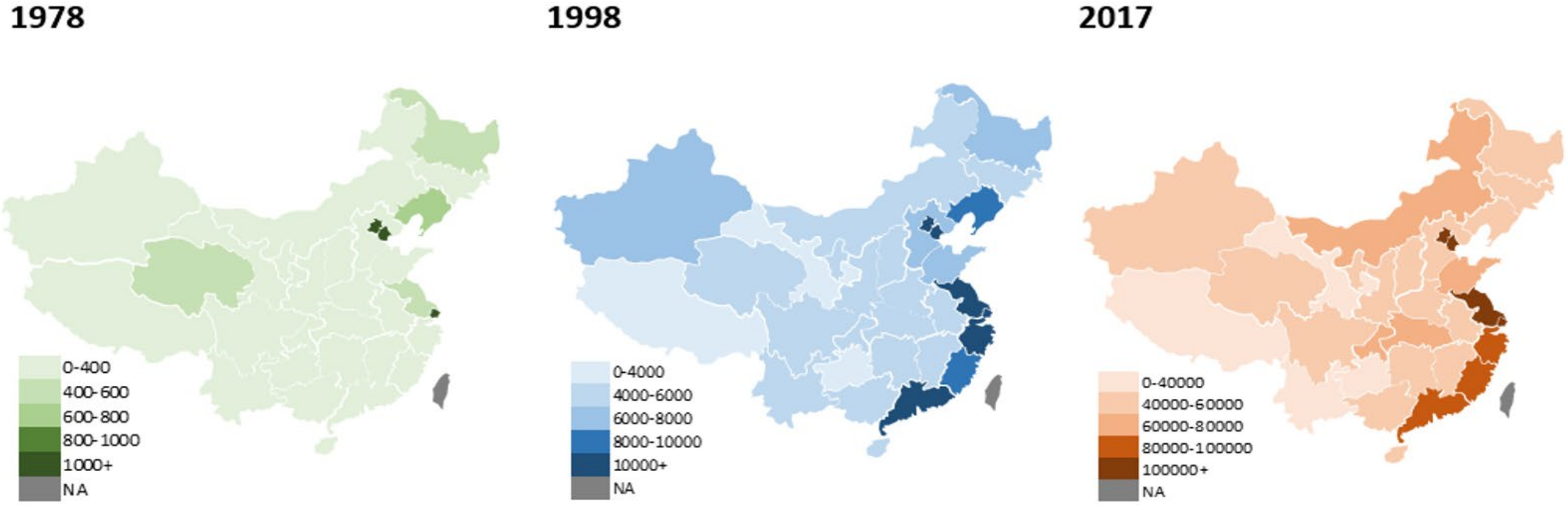
Table 38.1 Participation in urban social insurance programmes (2017)

Social insurance programmes	Number of participants (urban employees) (million)	Proportion of urban employees (%)	Number of participating migrant workers (million)	Proportion of migrant workers (%)
Pension insurance for urban employees	292.68	69	62.02	22
Health insurance for urban employees	222.88	52	62.25	22
Unemployment insurance	187.84	44	48.97	17
Work accident insurance	227.24	54	78.07	27

Source: ILO. 2019. Improve China's floating population insurance system. https://

3. Regional Difference in Socio-economic Development

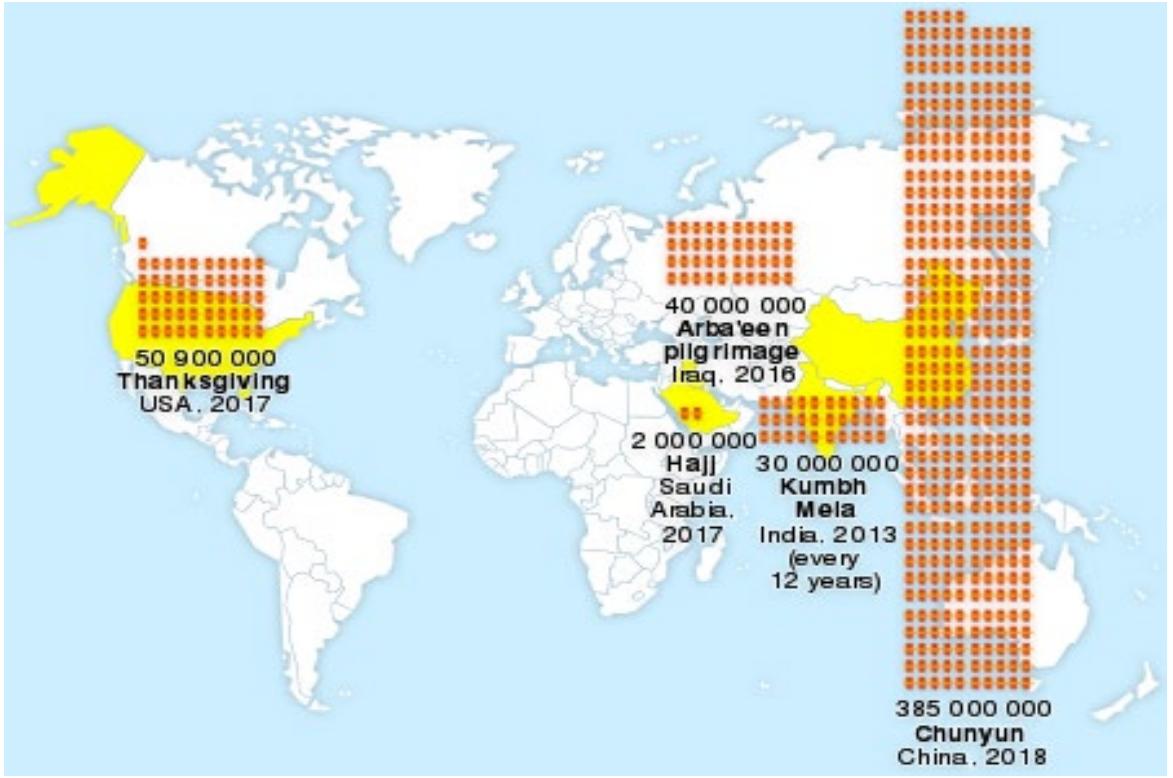
Figure: Provincial GDP Per Capita (RMB)



Source: National Bureau of Statistics of China and CEIC

Spring festival travel (春运 Chunyun)





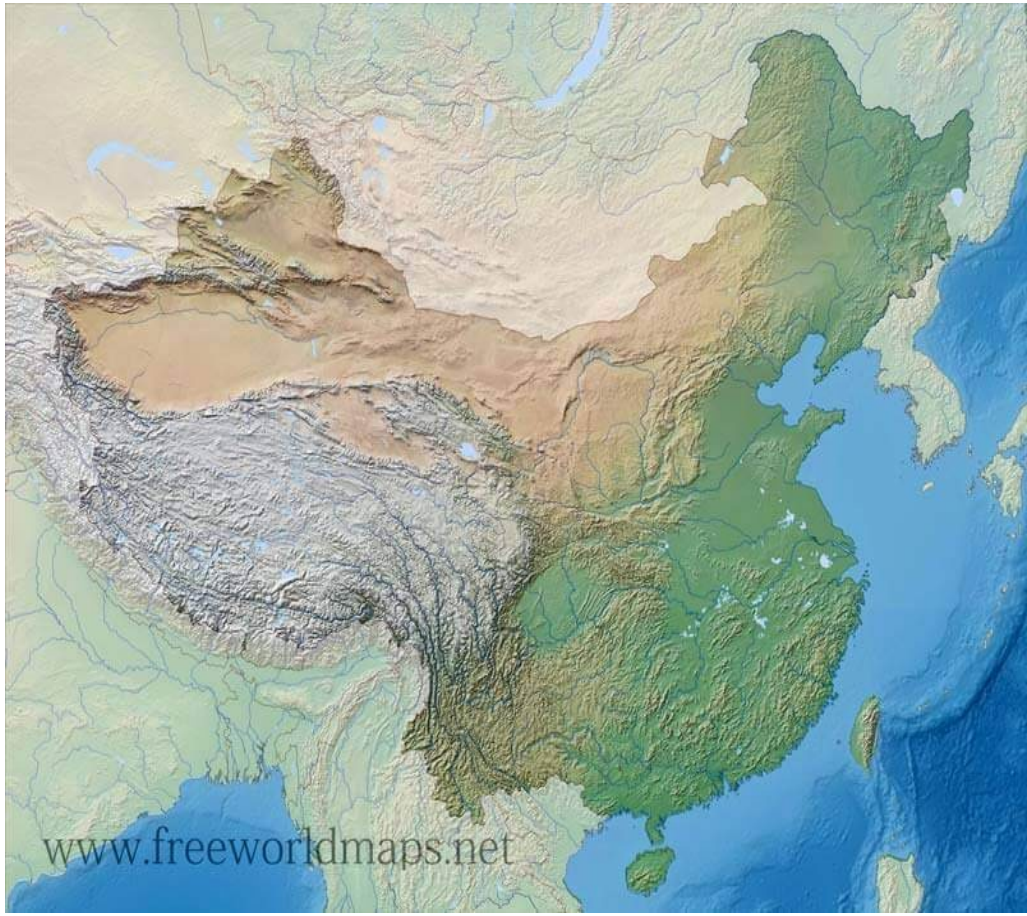
Underlying Factors of Regional Disparity

(1) geographic conditions

(2) governmental development strategy

- Prior development of the eastern coastal region
  - Special economic zones

- Eastern coastal area: export-oriented economy (foreign trade)



21st Century: Coordinative development between regions

- China's Western Development Strategy
- Rise of Central China Plan

  - Strengthen the infrastructure construction
  - Economic structure adjustment
  - Environmental protection



Summary

China's economic development, social status structure and urban-rural disparities

Time Period	Economic Background	Social Status Structure	Urban-rural Disparities
Pre- 1978	Socialist planned economy	Inverted-丁-shaped	
1978-1990s	Socialist market economy	土-shaped	Increasing
Target of 21st Century	Balanced development of economy and society	Olive-shaped	Gradually decreasing